Zara Sales Business Insights

Dataset: 251 Zara products, scraped February 2024
https://www.kaggle.com/datasets/xontoloyo/data-penjualan-zara/data

Executive Summary

The Zara catalog produced approximately $39M in revenue from about 450,000 sales, at an average price of $86.08 and an average of 1,824 units sold per product.

Three notable findings are:
1. Menswear dominates this Zara catalog and revenue (91.5%), but this reflects the range of product assortment rather than demand advantage.
2. Promotion works in womenswear but appears counterproductive in menswear.
3. Front-of-store placement outperforms all other positions in both sections.

1. Menswear vs. Womenswear: Menswear accounts for 91.5% of total revenue, with a much higher average price ($92 vs. the $50 in womenswear) and average revenue, as well as significantly more products in the catalog.

A caveat is that every womenswear product in this dataset is a sweater, while menswear spans many categories like jackets and shoes. The revenue gap is therefore driven partly by how much of each section was captured, not purely by consumer demand. This limits how far the comparison can be pushed. Furthermore, womenswear has greater average sales of 1863.9 compared to men's 1817.3, suggesting women's products have high demand. A fair comparison requires more womenswear data across comparable categories.

2. Promotion Effectiveness: Products on promotion show higher average sales than non-promoted products. Promoted products carry a higher average price, suggesting Zara selects the higher-priced items for promotion rather than discounting randomly.

When looking at the section, womenswear has higher average sales when promoted while menswear has lower average sales when promoted. The average price of menswear promotion products is greater than those not on promotion, while average price of womenswear promotion products is less than those not on promotion.

Recommendation: Expand the promotional activity in womenswear since it shows greater sales volume. Re-examine the menswear promotion strategy, as promoting already premium/expensive items appears to add little sales volume.

3. Product Placement: Front-of-store products have the highest average sales and highest average revenue across both menswear and womenswear. For womenswear, Aisle placement produces the lowest average sales. For menswear, end-cap placement produces the lowest average sales.

Recommendation: Prioritize front-of-store space for high-margin products. Optimize placement section by section rather than with a single store-wide rule.

4. Best Sellers: Five out of the top six best selling products (according to sales volume) in the Men's section are categorized as jackets. Even then, the one product labeled 't-shirt' contains 'suit jacket' in its name.

Five out of the top six best selling products in the Women's section contain 'knit' in the product name, and the 2nd and 3rd ranked products contain 'asymmetric.' This suggests asymmetric knit sweaters are trendy for women's products. The top six are all sweaters, but this is meaningless in this analysis considering all women's products are sweaters.

Recommendation: Prioritize showcasing and producing jackets in the men's section, and asymmetric knit sweaters for the season in the women's sections. These products have greater sales volume and could raise sales for the period.

5. Price Tier: Mid-range ($51–$79) products lead on both total and average sales volume. Luxury ($110+) products have the fewest items in the catalog, yet generate the highest total and average revenue.

Recommendation: The luxury tier should be selectively expanded, as it produces revenue above its share of product assortment. The mid-range tier should be upheld as the foundation for the sales volume.

6. Seasonality: Overall, seasonal and non-seasonal products perform almost identically: seasonal items average slightly fewer sales (1,821.7 vs. 1,825.6) but slightly higher revenue ($154,938.19 vs. $153,815.33). These differences are too small to act on.

However, looking closer at the section reveals that womenswear seasonal products average 1,959.3 units vs. 1,689.2 for non-seasonal, showing a meaningful gap. Additionally, the share of products on promotion is identical between seasonal and non-seasonal womenswear, so promotion can be ruled out as the driver.

Recommendation: Increase seasonal assortment and marketing in womenswear.

7. Clothing Category Performance: Jackets have the highest average revenue per product at $189,530.32 with an average price of $105.59, while shoes have the highest average sales volume at 1,867.94 units at a notably lower average price of $64.87. Shoes are a traffic-driving category, selling many units at lesser value, while jackets have fewer units at higher value.

Recommendation: Treat jackets as the driver for revenue and shoes as a volume and traffic driver.

Limitations

1. The cleaned dataset is a snapshot of a single point, so no trend or time analysis is possible.
2. Higher average prices among promoted items suggest Zara selects products for promotion. It's not known whether promotion drives sales,or promoted products were already positioned to sell.
3. Similarly with product placement, high-traffic front-of-store positions are likely assigned to products already expected to perform well.
4. Section and category are confounded. All womenswear items are sweaters, so any menswear/womenswear comparison partly reflects the mix of categories.
5. 'Product_revenue' was calculated as 'price' × 'sales_volume' and does not account for any discounts applied at checkout. This means the true revenue generated by promotional products is likely lower than the revenue calculated by this metric.
6. 251 products/rows is a small sample size for products, especially considering the distribution of products in the men's and women's sections.